

Questions to Ask Before Buying Your First Insurance Policy

A short checklist for first-time buyers

Most people buy their first policy in a hurry — at the end of a financial year, or because someone they trust suggested it. The questions below are not meant to make the decision harder. They are meant to make sure the policy you buy is the one your family will actually need.

- 01 What problem is this policy actually solving?**
Insurance replaces an income or meets a cost that would otherwise fall on your family. If you cannot name the specific loss it protects against, the policy may not belong in your plan yet.
- 02 Is this a protection product or an investment product?**
Pure protection (term, health, personal accident) buys a large cover for a small premium. Products that combine cover with returns usually do both modestly. Know which one you are buying.
- 03 How was the sum assured arrived at?**
A cover amount should follow from your income, liabilities, dependants and years to retirement — not from a round figure or the premium you were comfortable paying.
- 04 What exactly is excluded, and for how long?**
Ask for the exclusions list, waiting periods for pre-existing conditions, and any sub-limits. Most claim disappointments trace back to a clause read only after the claim.
- 05 What is the total premium outgo across the full term?**
Compare the annual premium, how many years it must be paid, and whether it can rise on renewal. A policy is only useful if you can keep paying for it.
- 06 What happens if I stop paying midway?**
Understand the grace period, lapse conditions, surrender value and revival rules before you sign, not when a difficult year arrives.
- 07 Have I disclosed everything truthfully?**
Health history, existing policies, income, occupation and habits must be stated as they are. Non-disclosure is the single most common reason claims are contested.
- 08 Who receives the money, and do they know?**
Confirm the nominee is recorded correctly and that the family knows the policy exists, where documents are kept, and how to make a claim.

Before you sign

Keep a copy of the proposal form you signed, the policy document, and the premium receipt in one place your family can find. Note the free-look period — you can return the policy within it if the terms are not what you understood them to be.